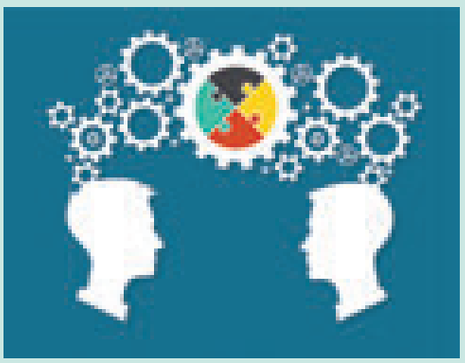


STUDENTS ACTIVITY



1. Prepare a flow chart for accounting your family expenditure based on monthly income.
2. Visit a nearby large scale industry and discuss with internal auditor's regarding their appointment and their scope of work.
3. Arrange for a guest lecture with an internal auditor of a company and discuss the control over accounts and reporting to the management.

SUMMARY

- **Internal Audit – Meaning:** Internal audit is an audit which is conducted on a continuous basis by the employees of the organization appointed specially for this purpose to review the operations and records of the organization and to offer suggestions to improve the efficiency.
- **Objects of Internal Audit:** The objects of internal audit are to check the accuracy of accounts, to review the internal control system, to protect the company assets, and to ensure that the company adheres to the accounting standards.
- **Advantages:** Internal audit helps in early detection of errors and frauds, quick presentation of accounts and reports, provides advisory services to management, benefits staff members and provides for proper co-ordination and control.

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